

have to put all of your money in a coffee-can portfolio. You just take a portion you know you won't need for 10 years. I bet the final results will exceed those from anything else you do.

A Coffee-Can for the Apocalypse

You might think a coffee-can portfolio depends on an optimistic view, à la the one Warren Buffett expressed in his 2015 annual letter.

It doesn't. You can have quite a dim view of the world, and still I'd recommend you build a coffee-can portfolio. Below, I'll explain why.

But first, a bit on Buffett's optimism.

I read his annual letter. I also read a lot of commentary on the letter.

One of the more interesting criticisms comes from SNL Financial columnist Ada Lee. She writes,

The greatest flaw in the letter is the same as last year's greatest flaw; Buffett is given to expressing bullishness on America's prospects in a way that seems almost designed to instill precisely the sort of complacency that poses the greatest risk to that bullish view.

In the letter, Buffett writes how he "always considered a 'bet' on ever rising US prosperity to be very close to a sure thing. Indeed, who has ever benefited during the past 238 years by betting against America?"

To that, Lee has a good response:

Nobody. Unfortunately, that sort of statement is completely true right up to the day it is completely false. One might have said the same thing about Athens right up to the start of the Peloponnesian War, or Rome through the rule of Augustus, or even the Soviet Union up until around 1980, after which a great many people benefitted immeasurably by betting against those states.

So that sets the table for thinking about a future that might not be quite as prosperous. What do past calamities tell us about preserving wealth?

Many have tried to answer it. The first guy I thought of was the late